DRN-1846883

The complaint

Mrs G complains about U K Insurance Limited's (UKI's) handling of her property insurance claim.

What happened

In June 2019, Mrs G's basement was flooded after heavy rainfall. She made a claim and UKI arranged for its loss adjuster to carry out an inspection. It also arranged for her property to be dried out.

UKI's loss adjuster recommended repairs take place, but Mrs G disagreed with their proposed repairs. She thought the concrete flooring needed to be removed and dried out, and the foundations checked for movement. She was also unhappy with the work carried out by the drying company.

UKI later asked Mrs G to arrange her own structural survey, and confirmed it would reimburse her for this. It also paid her total compensation of £390 to recognise the upset caused by the drying company's work, and because its representatives had visited her property unannounced. It also offered to appoint a different drying company.

Mrs G arranged her own survey, and UKI reimbursed her for this. The surveyor thought the movement was historic, and didn't think that substantial movement had taken place. He thought that there remained a risk of further flooding. It was suggested that UKI pay a cash settlement, rather than carry out the repairs.

UKI agreed to pay a cash settlement. It offered Mrs G £3,970.83 to resolve the claim. Mrs G was unhappy with this amount, as she had obtained quotes for the repairs that were much higher.

Our investigator thought UKI had been entitled to limit the cash settlement to the amount it would have paid for the repairs to take place, and said the quotes obtained by Mrs G included work that wasn't covered by the policy. The investigator also thought the compensation paid to Mrs G by UKI was reasonable in the circumstances.

Mrs G didn't accept our investigator's findings, and so the matter has been passed to me for a decision.

What I've decided – and why

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint.

The policy covers loss or damage caused by storm or flood. It also covers subsidence, but excludes settlement.

The policy explains that where damage takes place, UKI will choose whether to pay to repair, or make a cash payment. It also says that if a cash payment is made, it won't pay more than the amount it would have cost UKI to repair the damage using its own suppliers.

After Mrs G notified UKI of the flooding, its loss adjuster carried out an inspection. They thought rainwater had penetrated through the brickwork, and come up through the concrete floors, possibly because the water table had risen due to the extent of the rainfall. They said that once the rooms were dry, some of the floors would need to be repaired.

UKI then arrange for a building consultant to inspect the property. They said the (flood) water had entered the front of the property and flowed through the left-hand side of the basement rooms. They thought there was some form of liquid damp proof membrane to the floor slabs in the basement. They also noted that the property was of an unusual design to cope with localised flooding, as the general living space was on the first floor, with the ground floor set to storage and casual use.

Although Mrs G was concerned about the structural adequacy of her home, UKI's loss adjuster didn't identify any issues with this, and didn't think there were any signs of subsidence. However, since Mrs G remained concerned about this, UKI agreed that if Mrs G arranged for a structural engineer to carry out an inspection, it would reimburse her for this. I think that was fair.

Mrs G's structural engineer (Mr R) carried out an inspection. He said the precise source of the water ingress hadn't been identified, though he noted that a Section 19 Flood Investigation had been invoked by the local Flood Risk Manager. He said he'd been advised by Mrs G that when the original flooding happened, over half of the lower ground floor was under water, and the source of the water ingress was the living/bedroom floor/lobby wall junction, eventually penetrating via the external walls after prolonged wet weather.

Mr R concluded that the property had been affected by moderate historic differential settlement, mainly to the front right-hand corner, which he said was not of great concern. Although later photos showed that some more recent slight cracking had appeared, he didn't think that any substantial movement had taken place and concluded the stability of the property was not of any concern.

Mr R thought it appeared inconceivable that the flooding was a one-off incident. That was because of: - the low-lying nature of the ground; the elevated position of an inadequately drained nearby A-road; and because the property was in a flood zone. He reviewed the repairs schedule proposed by UKI, but thought the cosmetic repairs proposed would serve no purpose in addressing the underlying problem – which was outside Mrs G's control.

Mr R said that if the groundwater level and land/surface water drainage issue could be addressed by the local authority, then repairs could be progressed. However, he thought that without a scheme of major remedial works and improvements, the lower ground floor would remain unsuitable for habitable use. Mr R further explained that it wouldn't be reasonable to expect UKI to fund any building improvements, for example tanking and the formation of a new waterproof floor slab, as this would be considered 'betterment'. Instead, he thought UKI should contribute towards those costs, by agreeing a cash settlement based on the repairs it had proposed.

Based on Mr R's report, it's apparent that there hasn't been subsidence at Mrs G's property. I'm therefore satisfied that it was appropriate for UKI to deal with the matter as a flood claim.

Mrs G obtained two quotes. One of those included external prevention work to control future flooding, such as adding low lying pumps, sumps and a soakaway. It also included building improvement works, including tanking. That total quote was for £61,000. I understand the second quote was much higher, but Mrs G no longer has a copy of it.

On the quote I've seen, the contractor said the internal floor levels are lower than the external ground levels, when it should be the other way around. And that this allows any flood water to run into the property as there's nothing to obstruct it. The contractor said that tanking and under concrete slab membranes would help prevent future water ingress, but wouldn't stop it flooding into the property, and so the problem may reoccur periodically.

I recognise that Mrs G would like UKI to pay for the external prevention work, as well as the improvements to her property itself, to minimise the risk of flood damage in the future. However, those costs aren't covered by the policy.

This service does sometimes say that an insurer should carry out improvements that aren't usually covered under the policy (such as tanking for example) where it's clear that if it didn't do so, any repair would only be temporary. But in such cases, I'd need to be satisfied that the room/s requiring the improvements were watertight before the initial flooding incident, but are no longer watertight and will remain that way unless further work, such as tanking, takes place.

I understand Mrs G had only recently moved into the property when the flooding happened. However, notably, Mr R thought it was inconceivable that the flooding was a one-off incident, given the various external factors. UKI's building consultant also thought the property's unusual design was such so that it could cope with local flooding. And the contractor that provided Mrs G with a quote said that improvements to the property wouldn't stop flooding into the property, because the internal floor levels were lower than external floor levels.

Taking all of this into account, I can't reasonably conclude that the property was previously watertight before the initial flooding incident, or that any recommended improvements made to the property (such as tanking or a waterproof slab membrane) would be effective in preventing future flooding incidents, given the various external factors over which Mrs G and UKI have no control.

Consequently, and whilst I recognise Mrs G will be disappointed with my decision, I don't require UKI to pay for the improvement works to Mrs G's property.

Mrs G wanted UKI to pay a cash settlement for the repairs it had proposed. UKI agreed to this, though it limited this settlement to the amount it would have paid its own contractor to do the repairs, in line with its policy terms. UKI has shown me how it has calculated this settlement, and I'm satisfied the settlement was fair.

Mrs G also says that some of her personal belongings were damaged in the flooding incident. I understand UKI is dealing with this separately under the contents insurance aspect of her cover. If Mrs G is unhappy with UKI's claims decision in respect of this, she can bring a new complaint to this service.

After bringing her complaint to this service, Mrs G advised us that she had experienced further flooding. It's not clear if there was any damage to her property as a result of those floods, but if there was, then Mrs G should tell UKI about the incidents so it can investigate this further.

Mrs G did tell UKI of one incident where there'd been water ingress due to an issue with the local pumping station. UKI advised her that this would need to be a new claim, though it's understood Mrs G didn't proceed with this. If this incident caused damage to Mrs G's home and she wishes UKI to consider the matter, she should also contact UKI directly about this.

Mrs G also advised this service that her boiler was damaged in the initial flooding event. However, again, UKI says it hasn't been notified of this. I see our investigator checked with UKI and it confirmed that Mrs G has home emergency cover under her policy. UKI says that Mrs G could either make a claim under her home emergency cover, or alternatively, she could provide her own engineer's report which confirms the boiler has been damaged and the cause of that, and it would then consider the matter further.

Given the length of time that has passed since the flooding incident happened, and that Mrs G didn't advise UKI that her boiler at been damaged at the time, I think UKI's suggestions seem fair.

Mrs G raised concerns with UKI about the drying company that it employed. I see that UKI had paid the company to sanitise Mrs G's property, though it later transpired that this didn't happen. UKI confirmed it would appoint another company, which I think was reasonable. However, it's apparent that Mrs G was caused inconvenience by the matter.

UKI offered Mrs G total compensation of £390 for this, as well as its representatives turning up at her property unannounced. I think that amount of compensation was reasonable, and reflected the level of upset caused to Mrs G.

My final decision

My final decision is that I don't uphold this complaint, as I'm satisfied that UKI's settlement offer was fair, and its compensation offer was reasonable for the errors made.

Under the rules of the Financial Ombudsman Service, I'm required to ask Mrs G to accept or reject my decision before 12 January 2021.

Chantelle Hurn-Ryan
Ombudsman